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GCE A LEVEL MARKING SCHEME

PREDICTED 2025

**A LEVEL
ECONOMICS - COMPONENT 2
A520U20-1**

PREDICTED PAPER 2 (ADVANCED)

About this marking scheme

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment would be marked in a live series and has been prepared for predicted-paper use. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. Examiners are expected to use their professional judgement to credit alternative valid responses as instructed by the document.

Without the benefit of participation in an examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching.

GENERAL MARKING GUIDANCE

Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learners' responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

GCE A LEVEL ECONOMICS - COMPONENT 2

PREDICTED 2025 MARK SCHEME - ADVANCED

Question 1

1	1	Using the data, explain why UK productivity growth has slowed since 2008. [5]	
Band	AO1	AO2	AO3
2		2 marks Good application Strong use of the figures and/or text to support the argument.	2 marks Good analysis Developed chain of reasoning explaining the issue identified in the question.
1	1 mark Knowledge Clear knowledge of the relevant concept is demonstrated.	1 mark Limited application Use of the data is limited with few direct references.	1 mark Limited analysis Chain of reasoning is unconvincing or lacking in clarity.
0	0 marks No valid knowledge or understanding.	0 marks No valid application.	0 marks No valid analysis.

Indicative content

AO1

- Labour productivity: output per hour worked. Total factor productivity (TFP) is the Solow residual — output growth unexplained by changes in labour and capital.

AO2

- Figure 1 shows the gap between actual productivity and the pre-2008 trend widening every year since the financial crisis.
- Figure 2: UK business investment has been the lowest in the G7 — consistent with weak capital deepening.
- Text: productivity growth in finance and ICT — the drivers of pre-crisis acceleration — has since slowed.
- Text: growing sectors like hospitality and social care have inherently lower productivity than manufacturing.

AO3

- Weak business investment reduces the capital-labour ratio, which — from $Y = f(K, L, A)$ — reduces output per worker for given technology and labour.
- Structural shift of employment from manufacturing and financial services (high productivity) to hospitality and social care (low productivity) mechanically reduces aggregate productivity growth.
- Slower innovation diffusion: the pre-crisis boom may have absorbed much of the one-off gains from ICT adoption; subsequent innovation has been slower to spread.
- Labour market flexibility and abundant low-wage labour may have reduced the incentive to invest in labour-saving technology — the 'high-employment, low-productivity' UK equilibrium.
- Balance-sheet recession following 2008: weak lending, zombie firms and debt overhang depressed investment and R&D for an extended period.
- Allow any other valid chain of reasoning.

Allow any other valid points.

1	2	Using the data, explain why an ageing population creates challenges for the sustainability of the UK public finances. [5]
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Band	AO2	AO3
3		3 marks Excellent analysis Well-developed chain of reasoning that examines several factors linked to the issue identified in the question.
2	2 marks Good application Strong use of charts and/or text to support the points made.	2 marks Good analysis Well-developed chain of reasoning explaining why the issue identified in the question holds.
1	1 mark Limited application Use of the data is limited with few direct references.	1 mark Limited analysis A chain of reasoning exists, but points are under-developed.
0	0 marks No valid application.	0 marks No valid analysis.

Indicative content

AO2

- Figure 3: OBR projects old-age dependency rising from 31% today to 47% by 2070.
- Text: debt interest now absorbs around 8% of total spending.
- Text: debt has risen from 35% of GDP in 2007 to nearly 100% today.

AO3

- An ageing population raises age-related spending: state pensions, NHS costs for older patients, and long-term care.
- Simultaneously the share of the population of working age falls, reducing the tax base from which these costs must be financed.
- Potential GDP growth slows because a smaller fraction of the population is in work; tax receipts grow more slowly than age-related spending.
- If the resulting deficits are funded by additional debt, the debt-to-GDP ratio rises, raising interest payments and crowding out other spending.
- Higher expected future deficits can raise risk premia on government borrowing, further increasing debt-service costs.
- Allow any other valid chain of reasoning.

Allow any other valid points.

1	3	Evaluate the effectiveness of supply-side policies in raising UK productivity. [10]		
Band	AO2	AO3	AO4	
3	3 marks Excellent application The data is used well on both sides of the argument.	3 marks Excellent analysis Well-developed and wider-ranging chains of reasoning on one side of the argument.	3-4 marks Excellent evaluation Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement.	
2	2 marks Good application The data is well used on one side of the argument.	2 marks Good analysis Developed chains of reasoning on one side of the argument.	2 marks Good evaluation Developed counter-arguments or evaluative points.	
1	1 mark Limited application Use of the data is less effective. Relevant data has been used but not well developed.	1 mark Limited analysis Chains of reasoning exist but are under-developed.	1 mark Limited evaluation Counter-arguments are present but are under-developed.	
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.	

Indicative content

AO2

- Full expensing of business investment, R&D tax credits, planning reform and apprenticeship levy changes — all mentioned in the text.
- Figure 2 shows UK investment has historically been weaker than G7 peers despite successive supply-side initiatives.
- Post-pandemic rise in long-term sickness has pushed several hundred thousand people out of the labour force.

AO3

- Tax reliefs on business investment lower the user cost of capital, raising desired capital stock and thereby output per worker over time.
- R&D tax credits raise the private return on innovation, which addresses the positive externality of knowledge spillovers.
- Planning reform accelerates delivery of infrastructure, shifting aggregate supply right in the long run.
- Apprenticeship and skills reform raises the quality of the labour force, directly raising productivity.
- Deregulation can reduce frictions in labour and product markets, allowing resources to flow to their most productive uses.

AO4

- UK investment has remained below G7 peers despite decades of supply-side reform — evidence of limited effectiveness.
- Supply-side policies face long time lags between announcement and effect, making them hard to evaluate and unpopular with politicians on short cycles.
- Productivity also depends on factors outside government control: globalisation, demographics, secular stagnation, technology diffusion.
- Some supply-side policies (e.g. tax cuts for corporations) can transfer resources to firms without delivering investment, reducing cost-effectiveness.

- Policy reversals and uncertainty reduce the effectiveness of supply-side measures — businesses delay investment when the rules are in flux.
- Education and skills interventions take a generation to affect the workforce — unlikely to shift productivity in the short run.
- Macro context matters: supply-side policies work best when demand is strong. Weak aggregate demand leads to under-utilised capacity and reduced incentive to invest.
- Overall judgement at the top of the band: supply-side policies are necessary but insufficient — they need to be consistently applied over long periods and complemented by macro stability to deliver measurable gains.

Allow any other valid points.

1	4	Using the data, discuss the extent to which rising public debt limits the UK government's ability to boost long-run economic growth. [10]	
Band	AO2	AO3	AO4
3	3 marks Excellent application The data is used well on both sides of the argument.	3 marks Excellent analysis Well-developed and wider-ranging chains of reasoning on one side of the argument.	3-4 marks Excellent evaluation Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement.
2	2 marks Good application The data is well used on one side of the argument.	2 marks Good analysis Developed chains of reasoning on one side of the argument.	2 marks Good evaluation Developed counter-arguments or evaluative points.
1	1 mark Limited application Use of the data is less effective. Relevant data has been used but not well developed.	1 mark Limited analysis Chains of reasoning exist but are under-developed.	1 mark Limited evaluation Counter-arguments are present but are under-developed.
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content

AO2

- Public sector net debt has risen from around 35% of GDP in 2007 to nearly 100% today.
- Debt interest now absorbs 8% of total government spending — more than defence or transport.
- Text: economists disagree about significance — some say fiscal space is genuinely constrained, others argue well-targeted investment is self-financing.
- Figure 3 projects debt interest rising to over 6% of GDP by 2070 given ageing pressures.

AO3

- High debt levels raise debt-service costs, crowding out other productive spending.
- Markets may require higher risk premia as debt rises, raising long-run borrowing costs.
- Concerns about debt sustainability can reduce policy flexibility in future crises — less 'fiscal space' to respond to downturns.
- High debt may constrain the government's ability to respond to adverse shocks (further pandemics, climate, geopolitical), raising long-run volatility.

AO4

- Well-targeted public investment (R&D, infrastructure, skills) can pay for itself over time by raising the growth rate — 'growth-friendly' fiscal expansion.
- As long as the growth rate exceeds the interest rate ($g > r$), the debt-to-GDP ratio can fall even with ongoing deficits — the condition has held for much of the post-war period.
- UK government debt is nearly all sterling-denominated and held by domestic institutions — currency crisis risk is low compared with emerging markets.
- The Bank of England's QE programme purchased large quantities of gilts, reducing the net private-sector debt burden.
- UK debt is still moderate by G7 standards — Japan's debt exceeds 250% of GDP without a crisis.

- Ricardian equivalence and rational-expectations critiques suggest that private saving may offset government borrowing, reducing macroeconomic effect.
- Policy choice matters: higher debt used to fund consumption is more constraining than higher debt used to fund investment with positive net returns.
- Overall judgement at the top of the band: rising debt places a real but contingent constraint on policy — it limits the sustainable scale of further stimulus but does not prevent well-designed, investment-focused growth policy.

Allow any other valid points.

1	5	Using the data, discuss whether the UK's productivity problems are primarily structural or cyclical. [10]	
Band	AO2	AO3	AO4
3	3 marks Excellent application The data is used well on both sides of the argument.	3 marks Excellent analysis Well-developed and wider-ranging chains of reasoning on one side of the argument.	3-4 marks Excellent evaluation Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement.
2	2 marks Good application The data is well used on one side of the argument.	2 marks Good analysis Developed chains of reasoning on one side of the argument.	2 marks Good evaluation Developed counter-arguments or evaluative points.
1	1 mark Limited application Use of the data is less effective. Relevant data has been used but not well developed.	1 mark Limited analysis Chains of reasoning exist but are under-developed.	1 mark Limited evaluation Counter-arguments are present but are under-developed.
0	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content

AO2

- Figure 1 shows a 15+ year gap between actual and pre-crisis trend — much too long to be purely cyclical.
- Figure 2: UK investment has been structurally below G7 peers for decades.
- Text: slowdown affects fast-growing sectors (finance, ICT) — a sectoral / structural story.
- Text: mismeasurement of digital goods suggests some of the 'slowdown' may be statistical.

AO3

- The persistence of the slowdown over 15+ years (Figure 1) is strong evidence that the underlying causes are structural rather than purely cyclical.
- Sectoral re-composition (finance/ICT slowing, social care/hospitality growing) is mechanically structural.
- Persistently low investment (Figure 2) reduces the steady-state capital stock — a supply-side / structural channel.
- Demographic ageing reduces the participation rate and potential growth — structural.

AO4

- Cyclical factors also matter: the 2008 recession followed by austerity, Brexit uncertainty, Covid and the energy shock have each damaged the capacity of the economy in ways that may partially reverse.
- Hysteresis: cyclical shocks leave permanent scars via unemployment persistence, skill atrophy, and investment cancellation — making the cyclical/structural distinction porous.
- The post-pandemic rise in long-term sickness could be interpreted either as cyclical (health shock) or structural (chronic condition increase).
- Mismeasurement suggests productivity numbers themselves may overstate the slowdown — digital goods, free services and quality improvements are poorly captured.
- The UK has underperformed other G7 economies on productivity even where they faced the same cyclical shocks, pointing to country-specific structural factors (planning, training, infrastructure).

- Policy implications differ sharply: cyclical problems call for aggregate demand management; structural problems call for supply-side reform.
- Overall judgement at the top of the band: the evidence points primarily to structural factors — persistence, sector composition, weak investment — with cyclical shocks aggravating them. A durable recovery therefore needs supply-side reform alongside macro stability.

Allow any other valid points.

Question 2

2	1	Using the data, outline the characteristics of monopoly shown by dominant digital platforms. [5]
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Band	AO1	AO2
3		3 marks Excellent application Good use of both examples / figures to illustrate the features of the market structure.
2	2 marks Good knowledge Comprehensive understanding of the characteristics of the market structure.	2 marks Good application Good use of one of the examples to illustrate the features of the market structure.
1	1 mark Limited knowledge Understanding of the market structure is superficial, incomplete or contains some inaccuracies.	1 mark Limited application Data references are superficial.
0	0 marks No valid knowledge or understanding.	0 marks No valid application.

Indicative content

AO1

- Monopoly: a market with a single dominant firm that has significant market power and is a price-maker, with high barriers to entry.
- Characteristics: one/dominant seller, price-setter, barriers to entry, abnormal profits sustainable in the long run, price discrimination possible.

AO2

- Text: Big Tech firms account for well over half of global digital advertising and more than 80% of mobile OSs.
- Figure 1: operating margins of 26-42% compared with S&P 500 average of 11% — abnormal profits on a very large scale.
- Barriers: network effects, data advantage, economies of scale (MC near zero).
- Text: CMA investigations and SMS designation powers demonstrate regulatory recognition of monopoly status.
- Price-setting power: ability to charge high take rates on marketplaces or extract value from attention/data.

Allow any other valid points.

2	2	Calculate TR, TC and abnormal profit at each output level for PlatformCo. Identify profit-max and revenue-max outputs and explain why they differ. [7]	
Band	AO1	AO2	AO3
3		3 marks Excellent application Use of the data is comprehensive displaying all calculated values correctly.	3 marks Excellent analysis Well-developed chain of reasoning explaining the output / employment at which the objective is achieved.
2		2 marks Good application Strong use of data with either the revenue-side or the cost-side schedule calculated accurately. Or calculated correctly in units rather than per unit.	2 marks Good analysis Developed chain of reasoning showing how the optimal level of output / employment is determined. Some parts of the explanation are incomplete or unclear.
1	1 mark Knowledge Knowledge of the relevant profit-maximisation / employment / output condition is shown.	1 mark Limited application Use of the data is limited with significant inaccuracies in the calculations.	1 mark Limited analysis Chain of reasoning is unconvincing or lacking in clarity.
0	0 marks No valid knowledge or understanding.	0 marks No valid application.	0 marks No valid analysis.

Indicative content

AO1

- Profit max: $MR = MC$ (or equivalently the highest $TR - TC$).
- Revenue max: $MR = 0$ (or the highest TR).

AO2

- TR (£m): 0, 90, 160, 210, 240, 250, 240, 210, 160.
- TC (£m): 20, 35, 60, 95, 140, 195, 260, 335, 420.
- Abnormal profit (£m): -20, 55, 100, 115, 100, 55, -20, -125, -260.
- For TR correctly calculated: AO2: 1
- For TC correctly calculated (or AP using correct TR): AO2: 1
- For complete table with all three correctly: AO2: 3

AO3

- Profit-maximising output is $Q = 3$ m users, where abnormal profit peaks at £115m.
- Revenue-maximising output is $Q = 5$ m users, where TR peaks at £250m.
- They differ because revenue max ignores costs: as output rises beyond the profit-max level, the additional revenue from each extra unit (MR) is still positive but is now less than MC , so profit falls even as revenue continues to rise.
- Mathematically: MR at profit-max equals MC (positive); MR at revenue-max equals zero. Between these two output levels MR is positive but less than MC .
- A firm concerned purely with market share or with minimising regulatory attention may choose revenue max. A profit-maximising firm chooses profit max. A dominant tech platform concerned about losing share to new entrants may set output between the two.

Allow any other valid points.

2	3	Using a monopoly diagram, evaluate the welfare effects of breaking up a dominant digital platform into smaller competing firms. [10]		
Band	AO1	AO2	AO3	AO4
3	3 marks Excellent knowledge An accurate costs and revenue diagram is drawn showing both required shifts clearly.			3 marks Excellent evaluation Impact on profits is fully discussed with a judgement as to whether profits rise or fall.
2	2 marks Good knowledge An accurate costs and revenue diagram is drawn correctly showing one of the two required shifts, or both with some errors.	2 marks Good application The case is used to indicate how both changes arise.	2 marks Good analysis Good chain of reasoning explaining the net effect on profits.	2 marks Good evaluation The answer has developed counter-arguments or evaluative points.
1	1 mark Limited knowledge A costs and revenue diagram is drawn but with significant errors.	1 mark Limited application The case is used to indicate how the change in demand or costs arises, but weakly.	1 mark Limited analysis Chain of reasoning is less well-developed; link to profits is less clear.	1 mark Limited evaluation Counter-arguments are present but lack development.
0	0 marks No valid knowledge or understanding.	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content

AO1

- Clear monopoly diagram: $D=AR$, MR below AR , MC , AC ; monopoly price P_m at Q_m ($MC=MR$); competitive counterfactual price at P_c at Q_c (where $P=MC$).
- Deadweight welfare loss identified as the triangle between AR and MC from Q_m to Q_c .
- Break-up lowers price towards P_c , expands output towards Q_c , and reduces DWL.

AO2

- Text: Big Tech firms earn 26-42% margins vs 11% S&P average — large potential consumer surplus is captured as abnormal profit.
- Text: network effects and economies of scale make natural monopoly a possibility.
- Text: CMA's SMS regime is ex-ante and can partially achieve the same outcome without break-up.

AO3

- Break-up lowers the price and raises the quantity consumed, shifting producer surplus back to consumers and eliminating the deadweight loss.
- Multiple competing firms will engage in greater non-price competition — faster product iteration, more choice, more privacy options.
- Reduces the risk of leveraging dominance in adjacent markets (app store self-preferencing, search bias toward own products).
- Restores dynamic competitive incentives — firms must innovate or lose share, rather than rely on monopoly rent.

AO4

- Where digital platforms exhibit strong network effects, a single platform is more valuable to users than several competing ones — break-up can destroy positive consumption externalities.
- Economies of scale: if MC is near zero and fixed costs are high, smaller firms will have higher average costs and may not be able to offer free services.
- R&D spending is concentrated in large firms (Figure 1 — Meta 29%, Alphabet 14%) and break-up could reduce aggregate R&D investment.
- Enforcement complexity: defining the product boundaries of a digital platform is hard (the 'market' for search, social, operating systems is contested).
- International dimension: unilateral UK action has little effect on globally-scaled platforms; EU/US alignment is needed.
- Alternative remedies (interoperability rules, data portability, conduct requirements under the DMCC) may deliver much of the benefit without the costs of break-up.
- Overall judgement at the top of the band: break-up can raise welfare where network effects are weak relative to market-power losses, but risks reducing welfare where platforms are genuinely increasing returns to scale. Less drastic remedies are likely to be more appropriate in most cases.

Allow any other valid points.

2	4	Evaluate the view that sustained innovation requires firms to enjoy significant monopoly power. [7]	
Band	AO1	AO3	AO4
3			3 marks Excellent evaluation Strong evaluation which forms a clear judgement on the statement.
2	2 marks Good knowledge Clear understanding of the relevant concept is shown.	2 marks Good analysis Clear chain of reasoning supporting the view in the question.	2 marks Good evaluation Developed counter-arguments or evaluative points.
1	1 mark Limited knowledge Partial understanding of the relevant concept is shown.	1 mark Limited analysis The chain of reasoning lacks clarity or detail and is unconvincing.	1 mark Limited evaluation Counter-arguments are present but lack development.
0	0 marks No valid knowledge or understanding.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content

AO1

- Schumpeterian view: firms innovate in pursuit of monopoly rents; high expected post-innovation profits fund and justify R&D spending.
- Alternative view: innovation is driven by competitive pressure — firms innovate to avoid being displaced.

AO3

- Monopoly profits fund the large fixed R&D costs associated with modern innovation (e.g. semiconductor foundries, AI training runs).
- Patent protection grants temporary monopoly so that innovators can recoup sunk investment — without it, the free-rider problem reduces innovation below the social optimum.
- Long-horizon investment requires stable and predictable returns; monopoly firms face lower risk premia on R&D.
- Network effects and scale allow dominant firms to deploy new products to vast user bases faster and cheaper than a small firm could.

AO4

- The Arrow replacement effect suggests monopolists innovate less than competitive firms because new products cannibalise existing profits.
- Empirical evidence (Aghion et al.) finds an 'inverted-U' relationship between competition and innovation — very high and very low competition both reduce R&D; moderate competition maximises it.
- Historic periods of strong innovation (US antitrust era, 1940s-70s) saw large firms but also strong competitive constraints.
- Start-ups and academic R&D deliver a disproportionate share of fundamental innovation, often without market power of their own.
- Monopoly profits are often used for share buybacks and dividends rather than R&D — even Big Tech's 14-29% R&D share shows most revenue goes elsewhere.
- Technology diffusion slows when dominant firms can buy up potential disruptors ('killer acquisitions') — monopoly power may therefore reduce long-run innovation.

- Overall judgement: some market power is necessary to reward innovation (hence IP rights), but unrestricted monopoly power is not — in fact, moderate competitive pressure seems to maximise R&D.

Allow any other valid points.

2	5	With reference to the data, discuss the extent to which ex-ante regulation (such as the DMCC Act 2024) can effectively constrain the market power of dominant digital platforms. [11]
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Band	AO1	AO2	AO3	AO4
3			3 marks Excellent analysis Well-developed explanation with a clear chain of reasoning linking directly to the question focus.	3-4 marks Excellent evaluation Very well-developed counter-arguments and evaluative points, with a well-reasoned overall judgement at the top of the band.
2	2 marks Good knowledge A clear knowledge of the relevant concept is demonstrated.	2 marks Good application The answer is well contextualised, making use of the case on both sides of the argument.	2 marks Good analysis Developed explanation of the central chain of reasoning but some aspects are unclear.	2 marks Good evaluation The answer has developed counter-arguments or evaluative points.
1	1 mark Limited knowledge Some knowledge of the relevant concept is shown.	1 mark Limited application Some references to the context, but these are not well developed.	1 mark Limited analysis Candidate offers a limited or only partially correct analysis.	1 mark Limited evaluation Counter-arguments are present, but none well developed.
0	0 marks No valid knowledge or understanding.	0 marks No valid application.	0 marks No valid analysis.	0 marks No valid evaluation.

Indicative content

AO1

- Ex-ante regulation: rules imposed before harm occurs, based on firms' market position, rather than waiting for case-by-case antitrust litigation (ex-post).
- The DMCC Act 2024 gives the CMA powers to designate firms with 'strategic market status' (SMS) and impose bespoke conduct requirements.

AO2

- Text: EU DMA (2022) takes a similar ex-ante approach; US has relied on ex-post litigation.
- Text: 'each framework faces difficult trade-offs between deterring harmful conduct, preserving incentives to innovate, and keeping up with fast-moving technological change'.
- Figure 1: very large operating margins and R&D intensity suggest significant abnormal profit available to fund compliance — but also significant stakes of disruption.

AO3

- Ex-ante regulation is faster than ex-post enforcement, which can take 5-10 years per case — digital markets move far faster than the courts.
- Bespoke conduct requirements can address specific harms (e.g. app store self-preferencing, interoperability gaps) without the complexity of structural remedies.
- Certainty for market participants: new entrants know what behaviours are prohibited and can plan accordingly, lowering entry barriers.
- Continuous engagement between regulator and firm allows adjustments as markets evolve — more flexible than litigation.

AO4

- Regulatory capture: dominant firms have far more resources to engage with regulators than new entrants, leading to outcomes that protect incumbents.
- Technology moves faster than regulation — by the time a conduct rule is in force, the relevant market may have shifted (search to AI, messaging to video).
- Unilateral UK action affects only a small market (~4% of global digital ad spend); firms can restructure products or corporate arrangements to avoid UK-specific rules.
- Compliance costs raise entry barriers for smaller rivals who must now anticipate regulatory scrutiny if they succeed — perversely reinforcing dominance.
- Chilling effect on innovation: firms fear that successful products will trigger regulatory intervention, reducing incentive to invest.
- International coordination matters: the UK, EU and US moving in broadly the same direction increases effectiveness; divergence creates jurisdictional arbitrage.
- Enforcement requires significant technical capacity within the CMA — budget and skills may be a binding constraint.
- Alternative remedies (structural break-up, mandatory data portability, tax on digital services) have their own trade-offs and are not always available.
- Overall judgement at the top of the band: ex-ante regulation of SMS firms is likely to be more effective than pure ex-post antitrust in fast-moving digital markets, but effectiveness depends heavily on international coordination, regulatory resource, and avoiding regulatory capture. It is a necessary but insufficient tool.

Allow any other valid points.

AO Grid

	AO1	AO2	AO3	AO4	Total
1a	1	2	2		5
1b		2	3		5
1c		3	3	4	10
1d		3	3	4	10
1e		3	3	4	10
2a	2	3			5
2b	1	3	3		7
2c	3	2	2	3	10
2d	2		2	3	7
2e	2	2	3	4	11
Total	11	23	24	22	80

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